



TOP4SURE

WWW.TOP4SURE.IN

IC 88 – MARKETING AND PUBLIC RELATIONS

About TOP4SURE.in

Welcome to TOP4SURE!

We, at TOP4SURE, offer you online KNOWLEDGE BANKS for various INSURANCE exams. Our KNOWLEDGE BANKS not only provide important questions but also the correct answers along with its brief explanation which helps you to understand the topic very well.

We understand that in order to be successful in today's competitive world, one needs to keep updating self knowledge time to time. But for many, it becomes a crucial task while handling other responsibilities. Therefore, at TOP4SURE, we have designed our KNOWLEDGE BANKS in such a way that you can achieve your goals successfully along with your regular responsibilities.

The basic idea behind these KNOWLEDGE BANKS is "More knowledge in Less Time".

We have well experienced team of professionals working on these KNOWLEDGE BANKS. The mock tests questions designed by them have the highest probability of being asked in the exams. Therefore, with these highly valued KNOWLEDGE BANKS, the success rate at TOP4SURE is almost 100%.

At TOP4SURE, we believe more in quality than in quantity. Therefore, we select the most important 300-400 practice questions and answers instead of offering you thousands of questions. We keep on updating our exams time to time in order to keep our students up to date with the current exam trends.

With TOP4SURE KNOWLEDGE BANKS, you will surely pass your exams with flying colours.

WE WISH YOU ALL THE BEST!

ATTENTION

The student rights to view this downloaded KNOWLEDGE BANK will automatically expire after 90 days from the date of purchase.

All Rights Reserved. No Part of this document may be reproduced, stored in a retrieval system, or transmitted, in any form or by any means, electronic, mechanical, photocopying, recording or otherwise, without the prior written permission from TOP4SURE.in. For any clarification regarding this document or if you feel there are errors in the KNOWLEDGE BANK, please write us at info@top4sure.in.



LAST DAY REVISION TEST

Question1

Identify the factors which cause stress to employees while delivering service to policy holders.

- (a) Acute shortage of staff
- (b) Non delegation of approval authority
- (c) Unfamiliarity with new systems
- (d) Adjustment to new colleagues
- (e) All of the above

Correct Answer All of the above

Answer Explanation Readjustment of work schedules and systems may cause stresses on employees for many reasons, like unfamiliarity with new systems, additional work loads, adjustment to new colleagues and so on.

These stresses could impact directly on customer service. This in turn will lead to complaints and grievances, adding to stresses. It is a vicious spiral.



Question2

Which of the following service is evaluated as satisfactory?

- (a) Services availed from a reputed company
- (b) Perception of experience is better than the expectation
- (c) Service recipient do not have any complaints about service received
- (d) All of the above
- (e) Options a and c

Correct Answer

Perception of experience is better than the expectation

Answer Explanation

If the perception of experience is better than the expectation, the service is evaluated as satisfactory. If the perception is worse, the service is evaluated as unsatisfactory.

The level of satisfaction is quality and that is the difference between the experience as perceived and the expectation.

Question3

_____ is an example of Convenience goods.

- (a) Cars
- (b) Bread and milk
- (c) Computer
- (d) Television
- (e) Mobile phones

Correct Answer

Bread and milk

Answer Explanation

Consumer goods are also classified as convenience, shopping, specialty and unsought goods, according to the purchasing habits of people. Convenience goods are purchased frequently, immediately and without planning or search for alternatives. They are bought from any easily accessible outlet. Cigarettes, soft drinks, newspapers, etc., fall into the category of convenience goods.



Question4 _____ is the largest contributor to the GDP of India.

- (a) Service Sector
- (b) Construction Sector
- (c) Power generation
- (d) Agriculture
- (e) None of the above

Correct Answer Service Sector

Answer Explanation In India, as in all other countries, the service sector is growing faster than the other economic sectors. The service sector contributes more than 55% of the GDP, while the secondary sector contributes about 27% and the primary sector 18%. It is expected to grow at about 10% or more annually.

Question5 _____ can be considered as an investment in quality in a service business.

- (a) Process audit
- (b) Training of resources
- (c) Use of technology
- (d) All of the above
- (e) Options 'b' and 'c'

Correct Answer Options 'b' and 'c'

Answer Explanation Quality of service gives competitive edge. Quality of service adds value and provides more satisfying experience.

Achieving quality may be costly. But bad quality is more costly. Training has to be seen as an investment in quality. New technology demands high levels of precision in all inputs. It is an investment in quality in a service business.



Question6

Identify the type of segmentation in the following example: 'A new washing machine is launched by ABC Ltd., which cleans the clothes effectively keeping in mind the urban working women.'●

- (a) Psychographic
- (b) Demographic
- (c) Geographic
- (d) Regional
- (e) Buying behaviours

Correct Answer **Geographic**

Answer Explanation Segmentation is usually done on the basis of one or more of the following factors:

- ☐ Geographic like region, district, density of population, climate, rural, urban.
- ☐ Demographic like family size, religion, sex, income, occupation, language, education, incomes, etc.
- ☐ Psychographic like value systems, life styles, personality types, motivations
- ☐ Buying behaviours like volumes, frequency, delivery requirements, negotiated contracts, long-term short-term arrangements, shop or brand loyalties.



Question7 Identify the best option from the following for the term 'Cafeteria approach'.

- (a) Tours and travel management
- (b) Career management
- (c) Hotel management
- (d) Hospital management
- (e) Real estate management

Correct Answer Tours and travel management

Answer Explanation In tourism, options may be given to change from the standard itinerary, extending or curtailing stays at specific centres, special visits (to monuments, people, places, acquaintances, religious centres), language guides.

This kind of approach is called the 'Cafeteria'.

Question8 _____ parameter is considered as the first indicator of performance of an insurer.

- (a) Premium earnings
- (b) Sum insured
- (c) Solvency margin
- (d) Profit earned
- (e) Number of distributors

Correct Answer Premium earnings

Answer Explanation An insurer is interested in increasing its premium earnings. That is the first indicator of its performance as an insurer.



Question9

The example which can be attributed to the concept of 'Value' in marketing is _____.

- (a) Wedding cloth by a designer
- (b) An antique piece under auction
- (c) Jewellery by a designer jeweler
- (d) Painting of a well-known painter for sale
- (e) All of the above

Correct Answer All of the above

Answer Explanation The producer will, normally, fix the price on the basis of his costs of production and the margin of profit that he may like to earn. What is price to the producer is cost to the buyer. To him the cost is related to the value or worth that he sees in the product.

A painting produced at little cost fetches millions in an auction. A designer dress may be bought at a high price for its value of exclusiveness. An ancestral home of great sentimental value, may be bought 'at any price'.



Question10

Select the correct option by studying the following statements with respect to the marketing models of 'Pipes' and 'Platforms'.

1. All manufacturing runs on the model of 'Platforms'
2. 'Platforms' model provides varied choices to the customers
3. Airline ticket bought from its own website is an example of 'Platform' marketing model

- (a) Only 2
- (b) 1 and 2
- (c) 1 and 3
- (d) 2 and 3
- (e) 1, 2 and 3

Correct Answer Only 2

Answer Explanation 'Pipes' and 'Platforms' is the new buzzword in marketing. As enterprises become more aware of the need to satisfy customers, they tend to talk about data foundation, the analytics road map and digital platforms that help to scale up efforts to satisfy customers. The model of doing business is changing from the traditional pipes to platforms. In the traditional model, a producer makes goods and sends it through a 'pipe' to the consumer, who buys it for value.

In the platform model, an outsider creates a technology platform, on which producers place their goods and the consumer picks whatever gives him value, whenever he chooses to make the choice.



Question11

Choose from the following, the examples which fit into Psychographic segmentation.

1. Special interest in new technology products
2. Travel to religious places
3. Loyalty to a brand or shop

- (a) Only 3
- (b) 1 and 2
- (c) 1 and 3
- (d) 2 and 3
- (e) 1, 2 and 3

Correct Answer 1 and 2

Answer Explanation Segmentation is usually done on the basis of one or more of the following factors:

- ☐ Geographic like region, district, density of population, climate, rural, urban.
- ☐ Demographic like family size, religion, sex, income, occupation, language, education, incomes, etc.
- ☐ Psychographic like value systems, life styles, personality types, motivations
- ☐ Buying behaviours like volumes, frequency, delivery requirements, negotiated contracts, long-term short-term arrangements, shop or brand loyalties.



Question12

Identify the phenomenon, every customer suffers from, which occurs because of doubts that arise after the purchase, about the correctness of the purchase decision.

- (a) Brand loyalty
- (b) Brand disassociation
- (c) Cognitive dissonance
- (d) Post sale dissatisfaction
- (e) Perpetual dissatisfaction

Correct Answer Cognitive dissonance

Answer Explanation Relationship marketing requires that the provider keeps in touch with the customer even after the sale is over. There is a phenomenon called Cognitive Dissonance, which occurs because of doubts that arise, after the purchase, about the correctness of the purchase decision.

If the experience after purchase is not exactly as anticipated, the dissonance will be enhanced.



Question13

In order to qualify as 'rural area' as per IRDAI, the male working population in an area should be primarily engaged in _____.

- (a) Teaching
- (b) Agriculture
- (c) Unemployed
- (d) Self employed
- (e) Labour earning via MNREGA

Correct Answer **Agriculture**

Answer Explanation The rural area is defined by the IRDA as a place in which the population does not exceed 5000, as per the last census, the density of population is not more than 400 per square kilometer and at least 75% of the male working population is engaged in agriculture.

This is the criteria followed by the census in identifying villages.



Question14

Select the correct option by studying the following statements with respect to the term 'Intangible'.

- (a) Intangibles can be patented
- (b) Intangibles cannot be replicated easily
- (c) Intangibles cannot be specified or described accurately
- (d) All of the above
- (e) None of the above

Correct Answer Intangibles cannot be specified or described accurately

Answer Explanation Goods are tangible. They have physical dimensions and attributes and can be seen, felt, smelt, touched or tasted. Services have none of these dimensions and attributes and are therefore, intangible.

Intangibles cannot be specified or described accurately. Without such specifications, there cannot be a patent or copyright. Therefore, it is difficult to prevent others from copying and matching one's service. Competitors could easily imitate and adapt one's innovative concepts. This is an important implication of the characteristic of Intangibility. Services can be replicated or copied by competitors.



Question15

_____ is the marketing mix which is given the highest importance by a marketing agency entrusted with the mandate to attract customers to a restaurant.

- (a) Pricing
- (b) Information
- (c) Delivery time
- (d) Physical factors
- (e) Multiple payment options

Correct Answer **Physical factors**

Answer Explanation 'Physical factors' refers to the layout of the office, ambience, the décor, the furnishings, the arrangements for reception and for waiting and even the fragrances, which can provide for satisfaction.

Each of the elements in the marketing mix is important. Each has an influence on the customer. None of them can be ignored. The marketer has the choice of concentrating on one or more of them, to create the necessary impact.



Question16

Identify from the following, the group/s which can be segmentation for Life Insurance market.

1. Corporates 2. Housewives 3. Army personnel 4. Working women

- (a) 1 and 4
- (b) 1 and 3
- (c) 1 and 2
- (d) 1, 3 and 4
- (e) 2, 3 and 4

Correct Answer 2, 3 and 4

Answer Explanation Market segmentation is the process of disaggregating the total market into a number of sub-markets, in such a way that each of these submarkets share one or more common characteristics relevant to the purchase.

In insurance, one basis of segmentation could be individuals versus corporates, whose processes of buying and parameters of satisfaction are different. In life insurance, professions and occupations could be the basis of segmentation.



Question17

Identify the correct statement/s with respect to characteristics of service business.

- (a) Impact of labour content in service business is generally low
- (b) Many services are tied up with tangible goods but the consumer do not have ownership of such tangible assets
- (c) To remain competitive, the new entrants are required to produce large outputs relative to total market size
- (d) All of the above
- (e) None of the above

Correct Answer All of the above

Answer Explanation Service businesses have high labour impact, but not necessarily high labour content in total output. The quality, determined in terms of customer satisfaction, is influenced by the people.

Many services are tied up with tangible goods. Examples are train berths, hospital beds, car rentals, etc. In such cases, the consumer does not own the tangible goods.

New entrants may have to produce large outputs relative to the total size of the market, to remain competitive. Multinationals have the capability to do so.



Question18

Identify from the following, the statement which is not true.

- (a) Price communicates value and position to customer
- (b) The position influences the customers inclinations to buy
- (c) The images in the minds of the customers is the 'position' of the product
- (d) Promotion is the only communication process that influences customer's decision
- (e) A product may be positioned against a competing product or exclusively by itself

Correct Answer

Promotion is the only communication process that influences customer's decision

Answer Explanation

Promotion is the main, but not the only communication process. Price also communicates value and position. The outlet where the product is available also communicates.
The images in the minds of the consumer, is the 'position' of the product. The position influences the customer's inclinations to buy.
A product may be positioned against a competing product or exclusively by itself.

Question19

_____ is considered to be the ultimate bearer of cost of distribution.

- (a) Manufacturer
- (b) Wholesaler
- (c) Jointly by wholesaler and retailer
- (d) Retailer
- (e) None of the above

Correct Answer

None of the above

Answer Explanation

The distribution channel has its own costs. These costs have to be borne ultimately by the consumer.



Question20

Select the correct option from the following with respect to similarities and differences between advertisement and publicity.

- (a) The sponsor of the advertisement and publicity are equally in control on the contents of the message
- (b) Press release is a tool for publicity and advertisement whereas press conference is considered as a tool for publicity alone
- (c) Publicity is concerned with providing informative messages and the objective of advertisement is to persuade, solicit or appeal in favor of the product
- (d) All of the above
- (e) None of the above

Correct Answer

Publicity is concerned with providing informative messages and the objective of advertisement is to persuade, solicit or appeal in favor of the product

Answer Explanation

Advertisements are paid for by the advertiser. Publicity is communication which is not paid for, usually impersonal, appearing to emanate from sources other than the marketer.

Publicity is concerned with informative messages, as against advertisements which try to persuade, solicit or appeal in addition to inform.

The sponsor of the item does not exercise control on the contents of the publicity message, as the media are neither obliged to faithfully reproduce the matter supplied by the sponsor, nor publish it as prominently as the sponsor would wish.



Question21

_____ is appropriate strategy for a Cash Cow, in Boston Matrix.

- (a) Divest
- (b) Build
- (c) Invest
- (d) Hold
- (e) Harvest

Correct Answer Harvest

Answer Explanation The Boston Consulting group's product portfolio matrix (BCG matrix) is designed to help with long-term strategic planning, to help a business consider growth opportunities by reviewing its portfolio of products to decide where to invest, to discontinue or develop products.

A cash cow is one of the four categories (quadrants) in the growth-share, Boston Matrix. Cash cow refers to a product that makes a profit in a mature market and does not need heavy reinvestment. It is unlikely that sales will increase even if the company invests further in the product.

Companies use a harvesting strategy when a product has reached the cash cow stage. A harvest strategy involves reducing spending on an established product in order to maximize profits. Typically, harvest strategies are used on outdated products as profits are reinvested in newer models or newer technologies.



Question22

Complete the following statement by considering insurance regulations in India:
'The maximum numbers of life and non-life and health insurance companies which can be represented by an insurance agent are

_____.'

- (a) One life insurance company
- (b) One non-life insurance company
- (c) Two life insurance companies and two non-life insurance companies and one health insurance
- (d) Two life insurance companies and one non-life insurance company and one health insurance
- (e) One life insurance company and one non-life insurance company and one health insurance

Correct Answer One life insurance company and one non-life insurance company and one health insurance

Answer Explanation In India, the regulations provide that an insurance agent can represent only one life, one non-life and one health insurer. Agents are trained and licenced individuals, and as per the rules, can only represent one insurer from a sector.



Question23

Complete the following statement: Successful disposal of complaint will happen when the company _____.

- (a) Offers a recovery as well as correction
- (b) Disposes the complaint within TAT
- (c) Issue a warning to employee
- (d) Acknowledges the complaint
- (e) Explains the relevant rules or procedures or law to customers

Correct Answer Offers a recovery as well as correction

Answer Explanation Disposal may mean anything from mere acknowledgment, reference to someone else for verification and reporting, issuing a warning to someone, sending a letter of apology, explaining the relevant rules or procedures or law, to closing the matter because “the complainant did not personally appear at the enquiry”.

Disposal is real only when there is recovery as well as correction.



Question24

Which of the following term indicates that there is a possibility of loss or damage?

- (a) Risk
- (b) Danger
- (c) Hazard
- (d) Exposure
- (e) Probability

Correct Answer Risk

Answer Explanation The risk only means that there is a possibility of loss or damage. It may or may not happen. There has to be an uncertainty about both the peril and the risk. Insurance is done against the contingency that it may happen.

Insurance is relevant only if there are uncertainties. If there is no uncertainty about the occurrence of an event, it cannot be insured against.

Question25

What is the objective and the outcome of the communication efforts in the marketing mix?

- (a) Promotion
- (b) Positioning
- (c) Price
- (d) Segmentation
- (e) Product differentiation

Correct Answer Positioning

Answer Explanation Positioning is the objective and the outcome of the communication efforts in the marketing mix. Promotion is the main, but not the only communication process. Price also communicates value and position. The outlet where the product is available also communicates.



Question26

Select the correct option with respect to the term 'Cartel' by analysing the following statements.

1. Contending suppliers agree to share the total order between themselves and quote agreed prices
2. Cartel is a group of independent producers whose goal is to increase their collective profits
3. Cartel share the cost, revenue and profit through a formal agreement

- (a) Only 1
- (b) Only 2 and 3
- (c) Only 1 and 3
- (d) Only 1 and 2
- (e) All are correct

Correct Answer Only 1 and 3

Answer Explanation Sometimes competitors come together to charge agreed prices. This is collusion pricing intended to share the market. This may happen for example, when a big buyer like the Government, is asking for tenders for supplies.

The contending suppliers may agree to share the total order between themselves, and quote agreed prices. Those who are part of such agreements are said to have formed a cartel.



Question27

The main assumption for the concept of marketing is _____.

- (a) Customer choices are dependent on what producers produce
- (b) Neither the producer has choices on what to produce nor the customer has choices on what to buy
- (c) The producer has choices on what to produce and the customer has choices on what to buy
- (d) The producer has choices on what to produce but the customer has no choices on what to buy
- (e) The producer has no choices on what to produce but the customer has choices on what to buy

Correct Answer

The producer has choices on what to produce and the customer has choices on what to buy

Answer Explanation

Marketing concepts are based on the assumption that the producer has choices on what to produce and the customer has choices on what to buy. In other words, that there are no compulsions on either.



Question28

Identify the correct option/s from the following with respect to the purpose of promotion.

1. To improve loyalty of the product
2. To create demand for the product and increase the price
3. To persuade prospective customers to try a new product

- (a) Only 3
- (b) Only 1 and 2
- (c) Only 1 and 3
- (d) Only 2 and 3
- (e) 1,2 and 3

Correct Answer Only 3

Answer Explanation The purpose of 'Promotion' is to communicate with the market, so as to

- ☐ inform prospective customers about the product or the products
- ☐ inform existing customers about new products features, price offers, new channels, new ways of access
- ☐ generate interest in offers
- ☐ persuade prospective customers to try a new product (first purchase)
- ☐ persuade existing customers to continue use of the product (repeat purchase)



Question29

Read carefully and select the incorrect statement from the following.

- (a) If a service is mobile, it perishes less
- (b) A service not used does not perish
- (c) Services are not low-tech always
- (d) Standardization of service is difficult
- (e) Service provide competitive advantages to goods

Correct Answer A service not used does not perish

Answer Explanation The implication of this characteristic of Homogeneity is that standardisation of services is difficult. Services provide competitive advantage to goods. Services are performed by people. But service businesses are not low tech. One of the fast growing areas of service segment relates to computers. Computers are high tech.
A service perishes if it is not used. If a service facility is mobile, it perishes less.

Question30

_____ corporate initiative scheme was launched by ITC.

- (a) Trignon
- (b) Shakti
- (c) Aadhar chain
- (d) Rural stores
- (e) E-choupal

Correct Answer E-choupal

Answer Explanation ITC Ltd had introduced e-Choupals in rural areas in 2007. An employee manning a kiosk with a computer and a phone or a VSAT could connect to the Internet and provide farmers in the village, information about prices for his produce in various markets.
This helped the farmers to sell directly to ITC without the intermediaries.



Question31

'Services cannot be stored for later use or sale.' What does the above statement indicate about services?

- (a) Variability
- (b) Flexibility
- (c) Perishability
- (d) Intangibility
- (e) Inseparability

Correct Answer Perishability

Answer Explanation A service perishes if it is not used. Goods which are manufactured also perish if they are not used. The difference is that goods can remain stored for some time till they are consumed.
In the case of services, they cannot be stored.

Question32

_____ information is generally not gathered by Organisations via Segmentation.

- (a) Customer profile
- (b) Product loyalty
- (c) Customer academic qualifications
- (d) Preferences in product configuration
- (e) Customer profile and product loyalty

Correct Answer Customer academic qualifications

Answer Explanation Segmentation would provide data on
· Customer profile, who is he, where is he, what does he buy, how does he buy, etc
· End users versus intermediaries
· Loyalty to product, outlet or manufacturer
· Preferences in product configuration



Question33

Which pricing strategy is followed in the below given scenario? 'Goods are exported at a cost much lower than its cost at the exporting country with an objective to enter a new market.'

- (a) Quick start pricing strategy
- (b) Penetration pricing strategy
- (c) Bundle pricing strategy
- (d) Competition pricing strategy
- (e) Psychological pricing strategy

Correct Answer Penetration pricing strategy

Answer Explanation Normally, in the case of goods, price is determined by adding to the cost of production (including distribution costs), a margin for profits.

Sometimes the strategy to charge the lowest possible price is applied in the market. There are two consequences. One is to attract some part of the market or may be even to capture substantial part of it. Another is to see that competitors, unable to stand the financial squeeze, exit the market. This is the penetration strategy.



Question34

Discuss the assumption behind the following statement: 'The principle of Indemnity does not apply in the case of life insurance.'

- (a) The assumption is that insurance only helps in prevention of loss
- (b) The statement is incorrect. The principle of indemnity also applies to life insurance
- (c) The assumption is that there is no limit to the value of life of a human being
- (d) The assumption is that insurance only compensates a person to cover his losses with which he can replace the damaged asset
- (e) The assumption is that unlike property, value of human life may depreciate over a period of time

Correct Answer The assumption is that there is no limit to the value of life of a human being

Answer Explanation The principle of indemnity does not apply in the case of life insurance. The assumption is that there is no limit to the value of the life of a human being. One might argue that the value of a person's life can be measured by the income he earns, just as the value of a property, land or house, can be measured by the rent or yield therefrom.

This comparison is not considered valid because, unlike property, a human being is dynamic, capable of learning, able to improve skills and competence and thereby enhance his worth. Unlike property, the value of a human being does not depreciate over time. It may actually appreciate.



Question35

Identify the incorrect statement from the following.

- (a) Brand has no legal title
- (b) The brand has a value of its own
- (c) Big brands become generic to their category
- (d) Brand is subject to copyright and trademark protection
- (e) Brands are purchased and sold as if they are assets

Correct Answer Brand has no legal title

Answer Explanation A brand is based upon differentiated features. It has legal title, can be patented, is subject to copyright and trademark protections. The brand is built over a period of sustained marketing efforts and, when established, has a value of its own. Brands are purchased and sold as if they are assets.

Big brands become generic to their category, like Godrej for steel cupboards and locks, Dalda for vegetable hydrogenated cooking oils etc.



Question36

Which of the following is the major change in marketing brought in by the advent of internet and e-commerce?

- (a) Place of business
- (b) Product quality
- (c) Product pricing
- (d) Ease of selling
- (e) Product promotion

Correct Answer Place of business

Answer Explanation The ways in which the product reaches the ultimate consumer, enabling him to buy the same, constitute 'Place'. 'Place' refers to the arrangements for distribution and include retail outlets, wholesalers, transportation, warehousing, etc.

The advent of Internet and e-commerce has changed the traditional methods of distribution in respect of all products. The product does not have to move from the manufacturer's premises till it is sold. 'Place' in these cases, is the cyberspace.



Question37 What does the 4Ps in marketing refer to?

- (a) SIVA
- (b) Marketing Mix
- (c) Product Mix
- (d) Target Marketing
- (e) Product life cycle

Correct Answer Marketing Mix

Answer Explanation The basic task of a marketer is to deliver to the customer, satisfaction. He does so, by offering a Product, at a reasonable Price, at a suitable Place and after appropriate Promotion.

It was believed that these four, called the four 'P's, could deliver satisfaction and they were called the elements of the Marketing Mix.

Question38 XYZ company has received a complaint from customer with regard to its services. Give appropriate judgement about how the complaint can make a recovery in such cases.

- (a) By apology and follow up
- (b) By initiating refund and apology
- (c) By apology and reinstatement
- (d) By apology and urgent reinstatement
- (e) By apology and urgent reinstatement and follow-up

Correct Answer By apology and urgent reinstatement and follow-up

Answer Explanation



Question39

The non-life covers available under micro insurance are _____.

- (a) Health
- (b) Endowment
- (c) Personal accident
- (d) Personal accident and health
- (e) Personal accident, health and travel

Correct Answer Personal accident and health

Answer Explanation To enable insurance companies to provide insurance cover to the poorer sections of society, the IRDA introduced the concept of micro insurance. The Regulations issued by the IRDA in 2005 had fixed the maximum sum assured for micro insurance at Rs.50000/-.

Non-life covers would include personal accident, health, hut, livestock and tools, instruments.

Question40

Which of the following actions of an organization will have an impact on the society?

- (a) A corporate creating a multi facility township
- (b) An IT company organizing a football match for their employees
- (c) A hospital organizing a free medical camp for the local residents
- (d) All of the above
- (e) Options a and c

Correct Answer Options a and c

Answer Explanation There is increasing awareness that an organisation has to be responsible for the development and welfare of the community around itself. This is not only in terms of better economic development of the area, but investing in the development of township, hospitals, schools, parks and so on, which would have an impact on the quality of life of the community.



Question41 _____ is an example of FMCG.

- (a) Pasteurized milk
- (b) Tea
- (c) Sugar
- (d) All of the above
- (e) Only 'b' and 'c'

Correct Answer All of the above

Answer Explanation Fast-moving consumer goods are products that sell quickly at relatively low cost. These goods are also called consumer packaged goods. FMCGs have a short shelf life because of high consumer demand or because they are perishable.

Question42 Select the correct option from the following with respect to purchasing of services in comparison to purchasing of goods.

- (a) Public relations activity is not effective to promote service products
- (b) There is more anxiety while purchasing services than while purchasing goods
- (c) Benefit of services is intangible and it is difficult to visualize the benefits of service
- (d) All of the above
- (e) Options 'b' and 'c'

Correct Answer Options 'b' and 'c'

Answer Explanation There is more anxiety while purchasing services than while purchasing goods, because the nature of the purchase is not clearly known till after the purchase. Services are intangible, difficult to measure or sample and even difficult to articulate precisely. It is difficult to evaluate the effectiveness of the PR because the target is the mind sets of people and therefore intangible as well as not measurable. So, it can or cannot be effective.



Question43

The option which is best described with reference to the term 'Utilitarian analysis' is _____.

- (a) Business ethics
- (b) Resources of the organization
- (c) Utility of a product
- (d) Business acumen
- (e) None of the above

Correct Answer None of the above

Answer Explanation Utilitarian analysis takes into account not only economic costs but also human costs. For example, the relocation of a factory for economic reasons, have costs in terms of worker's anxiety, disruption of family lives, etc.

Question44

Identify from the following, the largest primary sector covered by the general insurance company.

- (a) Mining
- (b) Forestry
- (c) Agriculture
- (d) Fishing
- (e) None of the above

Correct Answer Agriculture

Answer Explanation The Primary sector, which includes creation of outputs directly from natural assets like land and water. Agriculture, forestry, mining and fishing are included in this sector.

India is the leading producer of sugar, tea, milk, fruits, vegetables, grains and other agricultural products.



Question45

Identify the buyer behaviour which can be attributed to a product life cycle in a maturity market.

- (a) Sophisticated buying
- (b) Brand is irrelevant
- (c) Product is bought repeatedly by the consumer
- (d) Product bought selectively by the buyer
- (e) High effort required in convincing the customer

Correct Answer **Sophisticated buying**

Answer Explanation Every product has a life cycle, just like every living being has a life cycle. Each stage in the life cycle represents the degree of attractiveness of the product in the market.

The third stage of maturity is when the product has become well known and is accepted in the market, the demand is steady and high and earnings are quite satisfactory. Promotional efforts are minimal and mainly in the nature of reminders.



Question46

Which of the following statement justifies the hypothesis that the production oriented approach is unpopular.

- (a) Profits come from revenues which need sales and customers
- (b) The sales cannot sustain for long if the product quality is not good
- (c) People did not always preferred cheaper products. For them the value may not be in the money saved but in the quality
- (d) People were willing to buy slightly inferior quality in order to save on expenses
- (e) For increased production there must be customers to buy the products who have to be informed and attracted, sometimes even persuaded to buy the products

Correct Answer

For increased production there must be customers to buy the products who have to be informed and attracted, sometimes even persuaded to buy the products

Answer Explanation

The production orientation which focussed on maximizing production, the emphasis being on large capacities and large turnover and therefore, low unit costs. The fallacy here is that increased production does not lead necessarily to bigger markets.

There must be customers to buy the production and generate revenue. Large numbers of customers do not turn up automatically. They have to be informed and attracted, sometimes even persuaded. The product has to be taken to where the cutomers are. It must be known where they are available.



Question47

Identify the correct option from the following with regards to manufacturing and services.

- (a) Major cost of quality in service is indirect
- (b) Better productivity through less number of people necessarily means better quality in the service business
- (c) When volume of sales increases, indirect cost per production increases
- (d) All of the above
- (e) None of the above

Correct Answer Major cost of quality in service is indirect

Answer Explanation In the case of manufacturing, when volume of sales increases, there is reduction in indirect costs per unit of production. In services, the major costs are indirect, not direct, in the sense that the infrastructure put in place (capacity to perform) determines the actual turnover.

Better productivity (same result through less people) is not necessarily better quality in the service business.



Question48

Life Insurance Corporation Act was passed in the year _____ in the Parliament of India.

- (a) 1948
- (b) 1952
- (c) 1962
- (d) 1956
- (e) 1970

Correct Answer 1956

Answer Explanation The Parliament of India passed the Life Insurance Corporation Act on the 19th of June 1956, and the Life Insurance Corporation of India was created on 1st September, 1956, with the objective of spreading life insurance much more widely and in particular to the rural areas with a view to reach all insurable persons in the country, providing them adequate financial cover at a reasonable cost.



Question49

Read the below statement carefully and identify what it is referring to. 'A complainant's satisfaction depends on how he perceives the equity in the final resolution or outcome'.

- (a) Pervasive Justice
- (b) Perpetual Justice
- (c) Distributive Justice
- (d) Procedural Justice
- (e) Interactional Justice

Correct Answer Distributive Justice

Answer Explanation A complainant's satisfaction depends on how he perceives

- *distributive* justice: referring to the equity in the final resolution or outcome
- *procedural* justice: referring to the manner (speed, flexibility) in which the grievance has been handled and the extent to which the complainant is involved in the process, and
- *interactional* justice: referring to the explanations given, honesty and politeness, the sincerity of the effort, the attitude of the persons concerned, the empathy shown etc.



- Question50** Identify the correct option from the following which best refers to the expression 'Keeping up with the joneses'.
- (a) Tendency to follow celebrities
 - (b) Tendency to follow new fashion trends
 - (c) Tendency of one group influencing another group
 - (d) Tendency of being influenced by the reference group
 - (e) Tendency of being influenced by the promotions for a short term

Correct Answer Tendency of being influenced by the reference group

Answer Explanation The expression 'Keeping up with the Joneses' refers to this tendency of being influenced by the reference group. The fashion industry thrives on this tendency.

- Question51** Identify the statement/s which closely define the term 'Risk'.
- (a) It will happen but the timing is uncertain
 - (b) Risk can be insured if there is certainty of occurrence
 - (c) The risk only means that there is a possibility of loss or damage
 - (d) All of the above
 - (e) None of the above

Correct Answer The risk only means that there is a possibility of loss or damage

Answer Explanation The risk only means that there is a possibility of loss or damage. It may or may not happen. There has to be an uncertainty about both the peril and the risk. Insurance is done against the contingency that it may happen.

Insurance is relevant only if there are uncertainties. If there is no uncertainty about the occurrence of an event, it cannot be insured against.



Question52

Identify the assets/subjects which are generally not considered for insurance by the insurance companies.

- (a) Gold ornaments kept inside the locker in a house
- (b) Alleged negligence of a doctor in treating a patient
- (c) Value of stocks held by an individual
- (d) Payment default by importers
- (e) Options 'c' and 'd' cannot be insured

Correct Answer Value of stocks held by an individual

Answer Explanation The All-risk policy provides insurance for jewellery kept in the house.

Exporters run the risk of importers in the other country defaulting on payments or refusing to accept goods. Doctors run the risk of being charged with negligence and subsequent liability for damages. These risks are now insured.

The element of risk is inherent to investing, which is why stock investments cannot be insured.



Question53

_____ personnel are not responsible for providing quality service in an insurance company.

- (a) The head office customer handling team
- (b) The human resources recruitment team
- (c) Insurance sales agents
- (d) Branch front desk handling staff
- (e) None of the above

Correct Answer None of the above

Answer Explanation Quality is the value added offering, that provides a more satisfying experience, which makes the customer come back for more of the same pleasurable experience. Quality is essential to build long term loyalty. Quality is provided not only in the front line, but also in the back office.

Question54

Identify from the following, the statement which is correct with reference to systems approach to marketing.

- (a) It considers selected important aspects of the problem
- (b) It is a methodical approach to problem solving
- (c) There are different parts in the system which interact with each other and functions as one united whole
- (d) All of the above
- (e) Options 'b' and 'c'

Correct Answer Options 'b' and 'c'

Answer Explanation The systems approach is a methodical approach to problem solving that considers all aspects of a problem. This approach is developed from the concept of systems. A system consists of several parts interacting with each other and functioning as one united whole.



Question55

Choose from the following options, the 'marketing mix' that can be best attributed to the following activity: 'The revenue department of government advertising penalties in a newspaper for delayed payment or non-payment of taxes.'

- (a) Promotion
- (b) Information
- (c) Communication
- (d) All of the above
- (e) Such type of advertising is not considered as a marketing activity

Correct Answer Promotion

Answer Explanation Payment of Income tax is compulsory by law. But people have a choice of not paying and facing the penalties that may follow.

Making collection arrangements easier is equivalent to the 'Place' in marketing. Communicating penalties is part of the 'Promotion'. Procedures are part of 'Process'.

The 'People' concerned, in the relevant offices can, with some consideration, help to make the process less dissatisfying and less threatening. Taking care of all these matters would be marketing activity by the Income Tax department.



Question56

Identify the set of customers to which Fintechs provides service.

- (a) Low volume -Low value customers
- (b) Low volume -High value customers
- (c) High volume -Low value customers
- (d) High volume -high value customers
- (e) None of the above

Correct Answer None of the above

Answer Explanation A development of interest to insurance business is called 'Financial Technologies' or 'Fintech'. Many start-ups are into this business which is likely to disrupt radically the business models of banking, insurance, investments and asset management.

The business which was US\$ 930 million in 2008 had grown to US\$ 12 billion in 2014. They focus on low cost – high tech models to deliver services to low value – high volume customers.



Question57

Which of the following is considered to be the best basis for optimum effectiveness of marketing decisions?

- (a) Net promoter score
- (b) Customer feedback
- (c) Benchmark competition
- (d) Feedback from sales team
- (e) Data from market research

Correct Answer **Data from market research**

Answer Explanation Marketing decisions have to be based on data for optimum effectiveness.

Data is generated from market research as well as from operations. The data available within any organisation about the behaviours of customers is beyond the ability of the human mind to comprehend.



Question58

Identify from the following, the statement which can be classified as 'Perception'.

- (a) DD General insurance company has reported a profit for last 3 years
- (b) CC Health insurance company is the best customer centric health insurance company in India
- (c) AA Life Insurance Company has the highest AUM amongst all life insurance companies in India
- (d) BB General insurance company has the best claim ratio amongst private insurance companies in India
- (e) All of the above can be classified as perception

Correct Answer

CC Health insurance company is the best customer centric health insurance company in India

Answer Explanation

The concept of perceptions is very significant in understanding customer behaviour. The concept says that one does not see what there is to be seen. What one sees is one's own personal response to what there is to be seen.

In the above example, other statements can be claimed based on proper statistics or data but 'best customer centric' is based on Perception.



Question59

_____ innovations fall under the scope of Insurtech companies.

- (a) Machine learning
- (b) Robo advisors
- (c) Digital platforms
- (d) Big data comparators
- (e) All of the above

Correct Answer All of the above

Answer Explanation Insurtech refers to the use of technology innovations designed to squeeze out savings and efficiency from the current insurance industry model.

Insurtech is a combination of the words “insurance” and “technology,” inspired by the term fintech.

Question60

Which of the following options is true?

- (a) Quality is what the customer says it is
- (b) Quality at any time is decided by the Managing Director
- (c) Quality of service can be bad despite good training to staff
- (d) Good quality is too expensive to maintain
- (e) None of the above

Correct Answer Quality is what the customer says it is

Answer Explanation Keys to Quality are Customer, People and Processes. Quality is what the customer says it is.

Quality is the customer’s perception of experience. Achieving quality may be costly. But bad quality is more costly.



Question61

Which of the following would you recommend as a social responsibility activity?

- (a) A company should recruit new staff only from the neighbourhood
- (b) Local producers should be helped to make quality products
- (c) Lady member of employees should be given lessons on hygiene, balanced food etc.
- (d) All of the above
- (e) None of the above

Correct Answer All of the above

Answer Explanation

Question62

Which of the following is correct option?

- (a) Spirituality unites people. Religiosity divides them
- (b) Rituals and practices are irrelevant for a spiritual person
- (c) Preachers are responsible for emphasising religious differences
- (d) All of the above statements are correct
- (e) None of the above statements are correct

Correct Answer All of the above statements are correct

Answer Explanation Spirituality is different from religiosity. Spirituality is the very essence of all religions and thus unites mankind. Common people however, understand religion in terms of rituals and practices ordained by the priests and commentators. These tend to divide people along religious boundaries.



Question63

Why is the rural areas considered to be the big market of the future?

- (a) Because there are more than 6 lakhs villages
- (b) Because nearly 70% people live there
- (c) Because of the developmental activities happening there
- (d) Because of all the above reasons
- (e) Because of none of the above reasons

Correct Answer Because of the developmental activities happening there

Answer Explanation The rural areas are already a growing market for soups, detergents, cosmetics, textiles, two wheelers, tooth pastes, packaged tea, TV sets, refrigerators, washing machines and mobile phones. Because of the spread of the internet and smart phones, the ecommerce companies are also selling in the rural market.

Question64

Which of the following elements of the Marketing Mix will give an insurer the maximum advantage?

- (a) Product
- (b) Price
- (c) Public Relations
- (d) People
- (e) None of the above

Correct Answer People

Answer Explanation 'People' are important because services are rendered and used by people. In the service business, about 90% of the employees are in direct contact with customers. In the case of insurance, the policyholder experiences satisfaction through the behaviour of (i) the agent at the time of purchase (ii) the responses of the agent or the office staff to his queries on the telephone or across the counter and (iii) lastly the behaviours of the persons handling his claim.



Question65

Mark the correct statement from the following.

- (a) Every decision is a dilemma
- (b) Every dilemma is an ethical dilemma
- (c) An ethical dilemma can be resolved by consulting a lawyer
- (d) All the above statements are wrong
- (e) All the above statements are correct

Correct Answer All the above statements are wrong

Answer Explanation If the alternatives have equal weight on the relevant criteria, there could be difficulty in making the choice. That situation is called a dilemma. Sometimes, all the available choices may have ethical implications. That is to say, any choice will be right as well as wrong at the same time. When this happens, there is an ethical dilemma.
All decisions are not dilemmas.

Question66

Which of the following statements is a true statement?

- (a) All complaints occur because an employee has been negligent
- (b) A complaint arises because the procedures may have been inappropriate
- (c) All complaints arise because the customer wants attention
- (d) All the above statements are correct
- (e) All the above statements are wrong

Correct Answer A complaint arises because the procedures may have been inappropriate

Answer Explanation A complaint does not necessarily mean that there is a fault or neglect on the part of an individual. It may only be revealing an omission in designing the product or the system.
Most of the complaints of indifference in service emanate from the procedures being unsuitable for speedy response to unanticipated situations.



Question67

Identify from the following, the situation which can be a Moment of Truth.

- (a) Your call is transferred immediately when you call a customer service
- (b) Receptionist is busy talking when you are waiting to enquire about something
- (c) As soon as you enter the electronics shop, the front desk salesman guides you quickly
- (d) All of the above situations are moments of truth
- (e) None of the above situations are moments of truth

Correct Answer All of the above situations are moments of truth

Answer Explanation Moments of Truth are incidents or events which constitute service in the mind of the customer. These moments are basic building blocks of service, units of value to the customer.

Every contact point is a moment of truth, a source of satisfaction as well as of a potential problem.

Question68

Which of the following is true?

- (a) Customers like to complain
- (b) Customers complain for the fun of it
- (c) Customers do not like their complaints to be ignored
- (d) All the above statements are true
- (e) None of the above statements are true

Correct Answer Customers do not like their complaints to be ignored

Answer Explanation



Question69

What does the Blue Revolution refer to?

- (a) Production of flowers
- (b) Production of milk
- (c) Production of fish
- (d) Production of films
- (e) None of the above

Correct Answer Production of fish

Answer Explanation Fisheries production in India increased from 0.75 million tonnes in 1950-51 to 9.6 million tonnes in 2012-13, at an annual rate of 4.5%. This production was the second largest in the world, next only to China. This is often referred to as the Blue Revolution in India.

Question70

Choose the correct statement from the following.

- (a) Every insurance policy is customized
- (b) Every insurance policy is a standard policy
- (c) All insurance policies offer identical benefits
- (d) All the above statements are correct
- (e) All the above statements are wrong

Correct Answer Every insurance policy is customized

Answer Explanation In the case of insurance, every policy is practically customized in the sense, that the final shape of the policy is determined taking into consideration the specific situation and requirements of the customer.



Question71

Identify the true statement from the following.

- (a) No employee should be allowed to break the rules
- (b) Any behaviour contrary to rules must be punished
- (c) Empowered employees often do not abide by the rules
- (d) None of the above statements is correct
- (e) All of the statements are correct

Correct Answer Empowered employees often do not abide by the rules

Answer Explanation An empowered employee focuses on results. He is not inhibited by formalities of position, authority or function. He does not consider himself bound by rules and procedures. He believes that the organisation expects him to be aware of the ends to be achieved and to act in furtherance thereof.

Question72

While reviewing insurance product, which of the following would NOT be important?

- (a) Size of the segment
- (b) Claims ratio
- (c) Amounts paid as commission to agents
- (d) Premium collected
- (e) All of the above

Correct Answer Amounts paid as commission to agents

Answer Explanation The product portfolio must be reviewed from time to time. The purpose of such review would be to determine whether any of the products need to be taken out of the offer or need to be strengthened further. One of the consideration would be the contribution that the product is making to the total performance of the company. In insurance, the contribution can be determined in terms of claims ratio, volumes of premium, size and nature of segment catered to, costs relative to premium, etc.



Question73

Which of the following is correct statement?

- (a) Use of equipments to provide service ensures consistent quality
- (b) Extensive training for personnel ensures consistent quality
- (c) Quality of service is affected by behaviour of the customer
- (d) Highly skilled employees ensure consistent quality
- (e) None of the above

Correct Answer

Quality of service is affected by behaviour of the customer

Answer Explanation The tools and equipments used , Extensive training or Highly skilled employees are essential while rendering a service but do not determine quality of service. Quality of service is affected by behaviour of the customer.

Question74

Which of the following statements is a correct statement?

- (a) The responsibility of an agent is over when a policy is sold
- (b) The responsibility of an agent is not over till the claim is settled
- (c) The responsibility of an agent is over when premium is paid
- (d) Both the statements are correct
- (e) Both the statements are wrong

Correct Answer

The responsibility of an agent is not over till the claim is settled

Answer Explanation The work of an agent begins after the policy is sold and ends when the claim is settled.



Question75

Why is a teacher in a village likely to succeed as an insurance agent?

- (a) He is already in contact with the people in the village
- (b) He is seen as knowledgeable
- (c) He is seen as trustworthy and dependable
- (d) For all the above reasons
- (e) None of the above reasons

Correct Answer For all the above reasons

Answer Explanation Teachers, who meet heads of households in the normal course, save on the effort of selling insurance, if they are agents. These persons have the added advantage, that they would already have gained the trust of the customers.



TOP4SURE

LAST DAY REVISION TEST

WWW.TOP4SURE.IN

IC 88 – MARKETING AND PUBLIC RELATIONS

**Your feedback is valuable to us. Please write to us at
info@top4sure.in**

ALL THE BEST FOR YOUR EXAMS!